
Globalization Compared, 19th-20th c.

Jérôme Sgard, Professor of Political Economy

Wedn: 5:40 – 7:40pm
Havre Campus, Room B327

Office Hours: Thursday, 3-6pm (by appointment, zoom)
jerome.sgard@sciencespo.fr

□ How is this course organized ?

- This course is primarily about the history of globalization,
 - from the first modern experience 1800-1930 (in abroad measure), or 1870-1914 (in a narrower one).
 - till the second one, starting in the post-war decades (or the 1990s in a narrower scope) and running till today.
 - These two eras correspond to **two successive hegemonic periods, British and American.**
 - What is 'Hegemony' , in this context ? Ideas vs interests ?
 - How different were they? Britain did not build a large, complex architecture (UN, Imf, Nato, etc), so how did it actually maintained political and market order ? Some authors argue that Britain did not have a 'project' or a 'concept' of global governance.
 - And of course, 'hegemony' then came with large-scale imperialism and colonisation of the 'non-White', 'non-Christian', 'non-West'.
-

-
- Beyond are a long series of issues of great interest, which we shall visit during the coming weeks:
 - Free-trade was **much less entrenched before 1914** than it has been in recent decades - at least until the recent months. But remember also how integrated markets fully collapsed, in the early 1930s.
 - **International capital markets**, on the other hand, were almost as integrated as today, from the 1890s on. But there was IMF to police the markets and address the (inevitable) crisis.
 - And **what about Gold** in the international monetary system, as compared to the(broadly) floating system of today ?
 - **The first classes** will be rather focussed in the 19th century experience – with constant comparisons with more recent experiences.
 - **The latter classes** will move to the intermediary period and the emergence of today's world: emergence of '**late industrializers**', the **crisis of Western liberalism** in the early 20th; the invention of **multilateralism**; the current challenges to globalization.
-

-
- ❑ The Syllabus includes for each lecture one or two mandatory readings which will be available in advance on our Moodle-page. But you'll also find complementary, quality references. You may use them for further readings, when preparing your essay or in future works. They are part of the 'map'.
 - ❑ **Each class will start with a 15' presentation** of the reading by one student: what is the point of the said papers, the thesis it defends, its arguments – and why it might still be relevant;
 - ❑ After collective discussion (participation is required), I shall move to a more classic course that will contextualize the readings and set them in a broader historical and comparative perspective.
 - ❑ During the coming weeks, if you have any problem, you are welcome to raise your hand and talk. Or you may ask for a zoom-appointment, preferably with advance notice by email.
-

□ Control:

- A mid-term essay of 5000 words (70% weight), on a freely-chosen subject:
 - You can certainly come and discuss with Alessia or me the topic and the question you want to work. But, do not loose time ! Start thinking about your essay right now !
 - Submission date: Tuesday 11 November, 12 pm (midnight)
 - Essays may be submitted either in English or French
 - And beware Urkund, our lie-detector: if you are in serious trouble, better come and discuss with us. And what about AI ?
 - A final Oral exam, in early December (30% of total mark), on the essay, class presentation and the class more generally.
-

And now, the oyster problem !



1 – Basic evidences

- Discussing 'globalization', like 'imperialism' or 'economic emergence' first reflect the fact that some countries (Britain, Western Europe, 'the West') started growing before others like Germany, China and Ghana.
 - From there on, the former were able to impose highly asymmetric, often exploitative relations on most of the 'non-West': this imperial past keeps weighing heavily on growth patterns, national self-perception and the internal politics of post-colonial countries.
 - On the other hand, 21st century developing and emerging countries can benefit from two major strategic advantages:
 - **Absorbing present-day technology** without having to climb all the intermediary steps, since early-modern techniques.
 - By the mid-1990s, China still had a lot of steam locomotives;
 - Leveraging the growth potential of huge, **integrated global markets**: the success since 1990 of China, South-East Asia or Central Europe could not be envisaged without trade integration.
 - In other words: you don't emerge alone (think to East Germany!).
-



-
- Against this background, the recent experience of Emerging countries is (very schematically) based on :
 - Investing enormous amounts of capital in plants, infrastructures, cities, etc.
 - East Asia's high growth is first remarkable for its extremely high investment: 40-50% of GDP, against ca 15-20% in 19th c. century Europe, and 20-25% post-WWII.
 - Moving a large part of the labor force out of agriculture, increasing rapidly the overall level of education.
 - Other things equal, moving from countryside to city increases substantially one's productivity, hence one's income; this also applies to the country as a whole.
 - Acquiring new social and policy know-how, in businesses and in the public administration. See China since the 1980s.
 - This is where policy-making, hence Development Econ, comes in. Lessons can be drawn, transferred, and shared.
 - But let's look at some statistical, descriptive evidences...
-

A few basic, comparative data

The Old West, 1830-2022 Average annual growth

	1830-1870	1870-1913	1920-1939	1950-1973	1973-1990	1990-2022
France	1,5	1,6	2,5	5,0	2,4	1,5
Germany	1,7	2,8	4,2	5,7	2,0	1,5
Italy	-	1,9	2,5	5,6	2,8	0,8
UK	2,2	1,9	1,8	2,9	2,1	1,8
USA	4,4	3,9	2,0	4,0	3,0	2,4

Primary sources: Maddison (2008), WorldBank data

The New East, 1870-2022

Average annual growth

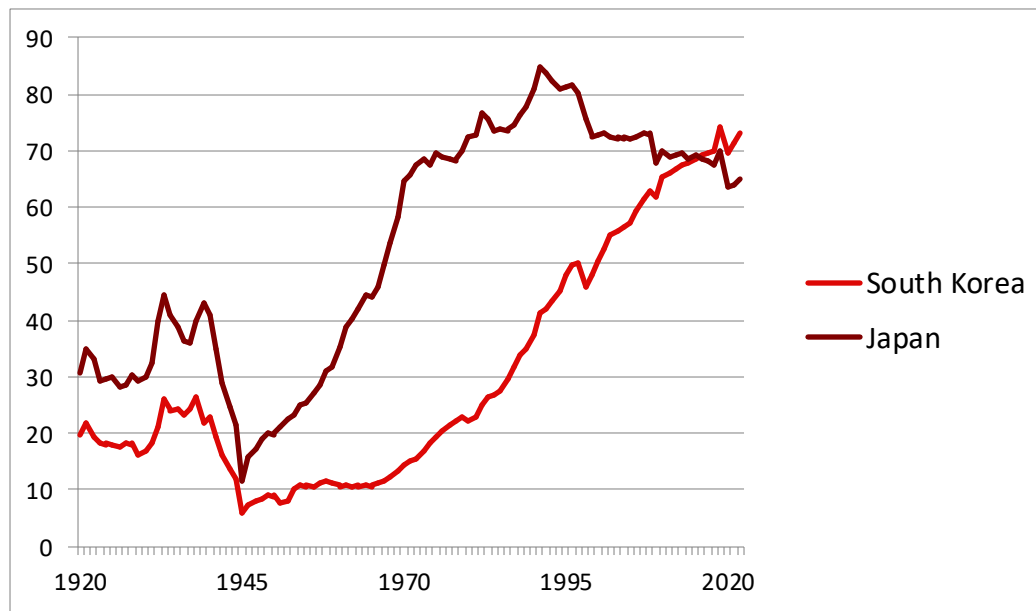
	1870-1913	1950-1973	1973-1990	1990-2009	2010-2022
China	0,6	4,9	6,6	10,2	7,0
India	1,0	3,5	4,8	6,0	5,9
Indonesia	2,0	4,6	5,1	4,7	4,7
Japan	2,4	9,3	3,7	1,0	0,8
South Korea	1,0	7,6	8,2	6,1	3,0
Thailand	1,7	6,9	7,2	4,8	2,6
Taiwan	1,6	9,3	8,3	5,3	3,8

Primary sources: Maddison (2008), WorldBank data

Afghanistan	1 517	Poland	34 916
Bangladesh	5 911	Russian Federation	28 194
Brazil	14 736	France	44 993
Bolivia	8 052	Germany	53 180
China	17 657	Korea, Rep.	44 232
India	6 677	Taiwan	50 500
South Africa	13 312	United States	63 636

GDP per capita, PPP basis (2021)

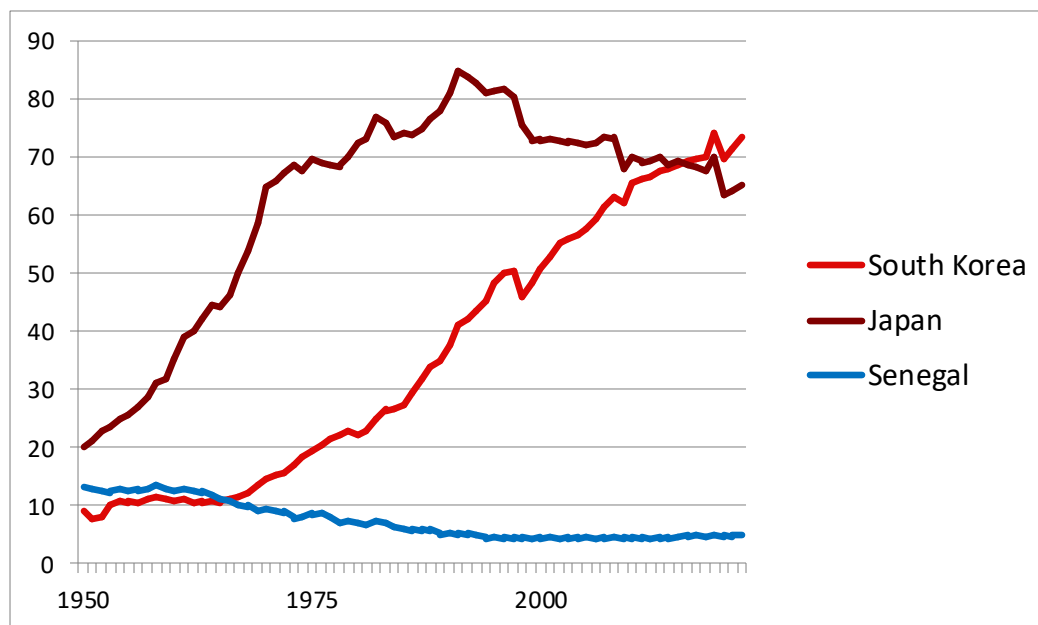
Economic convergence since the 1950s: the first Asian success stories (vs. USA)



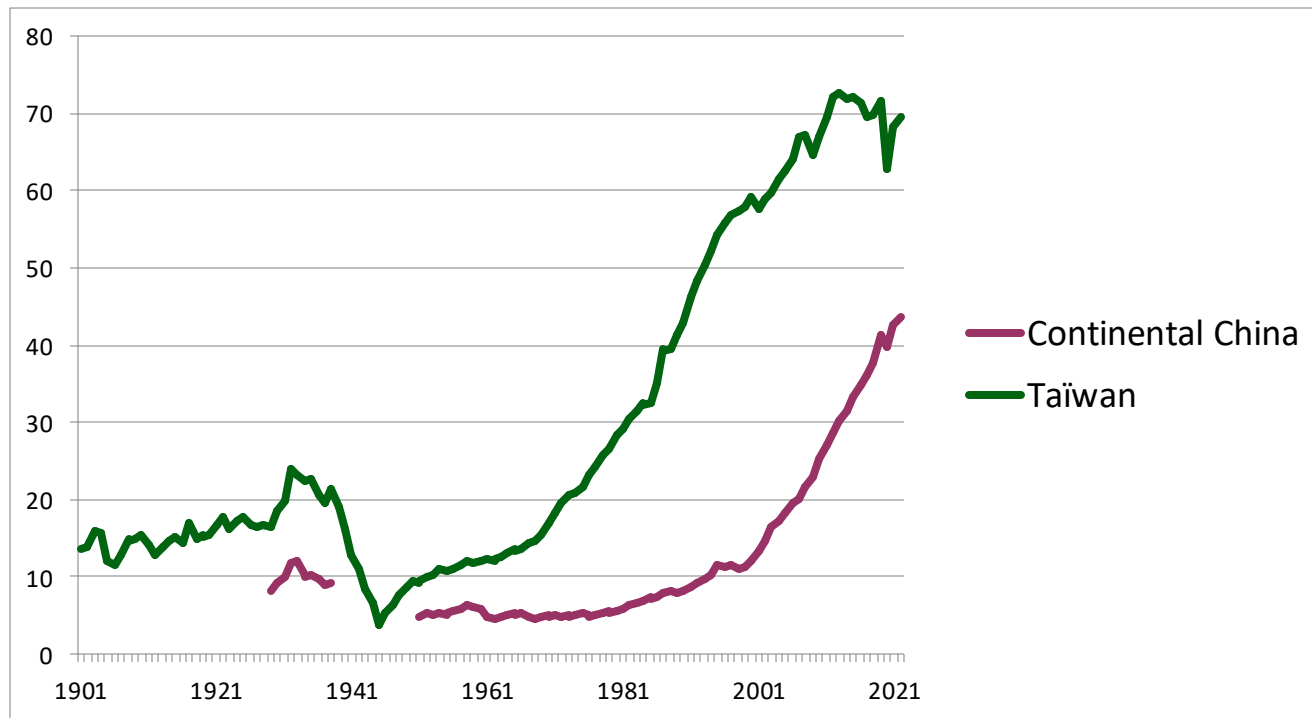
Gdp per capita is measured as a proportion of US level, on a year-by-year basis. These series should be seen as broadly indicative of divergence and convergence between economies, rather than exact measures of where they stood at each point in time. Primary stats come from Maddison (2008) and WorldBank data.

By the way: why do we keep using GDP stats??

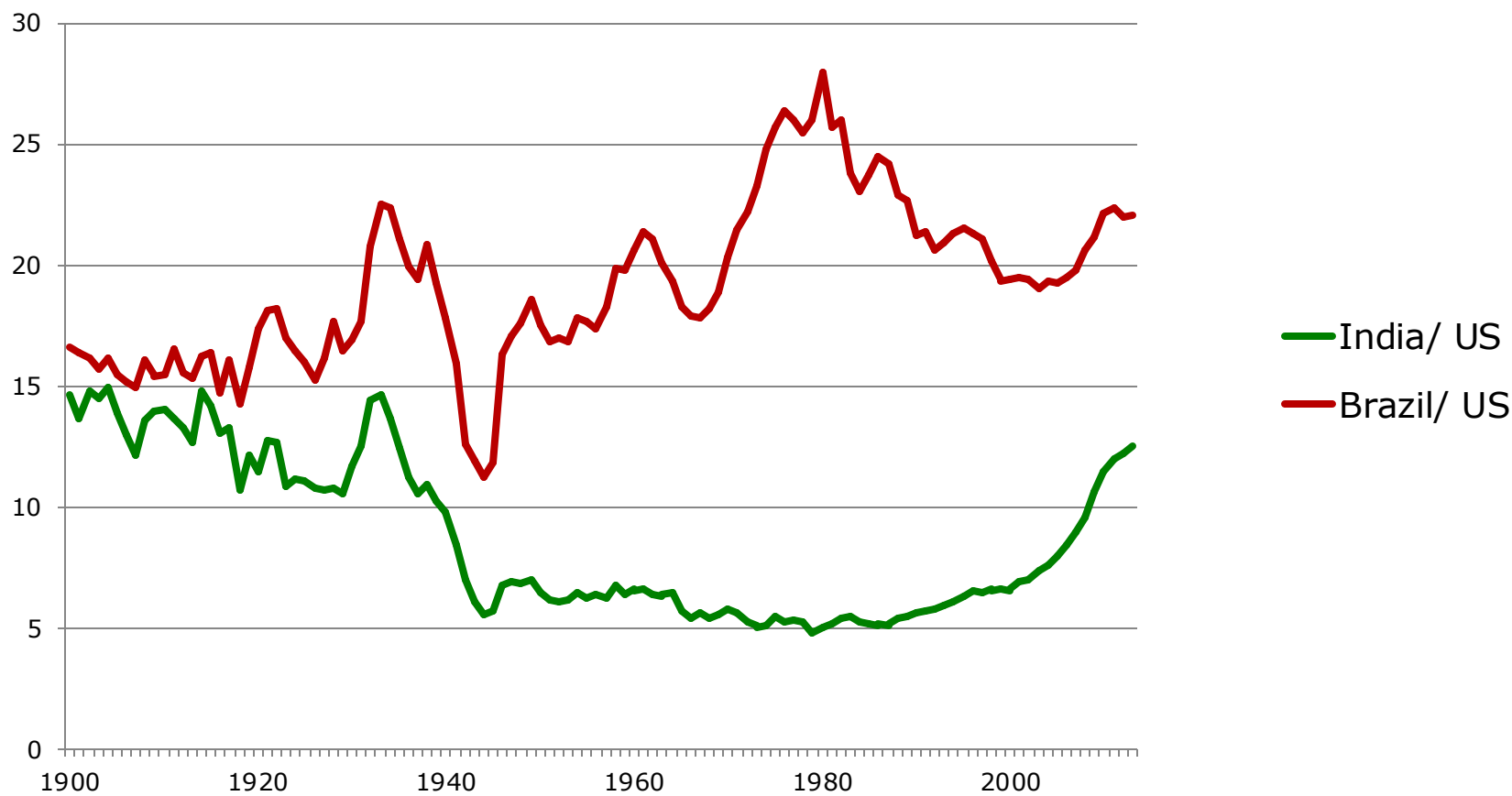
And what about non-emergence ?



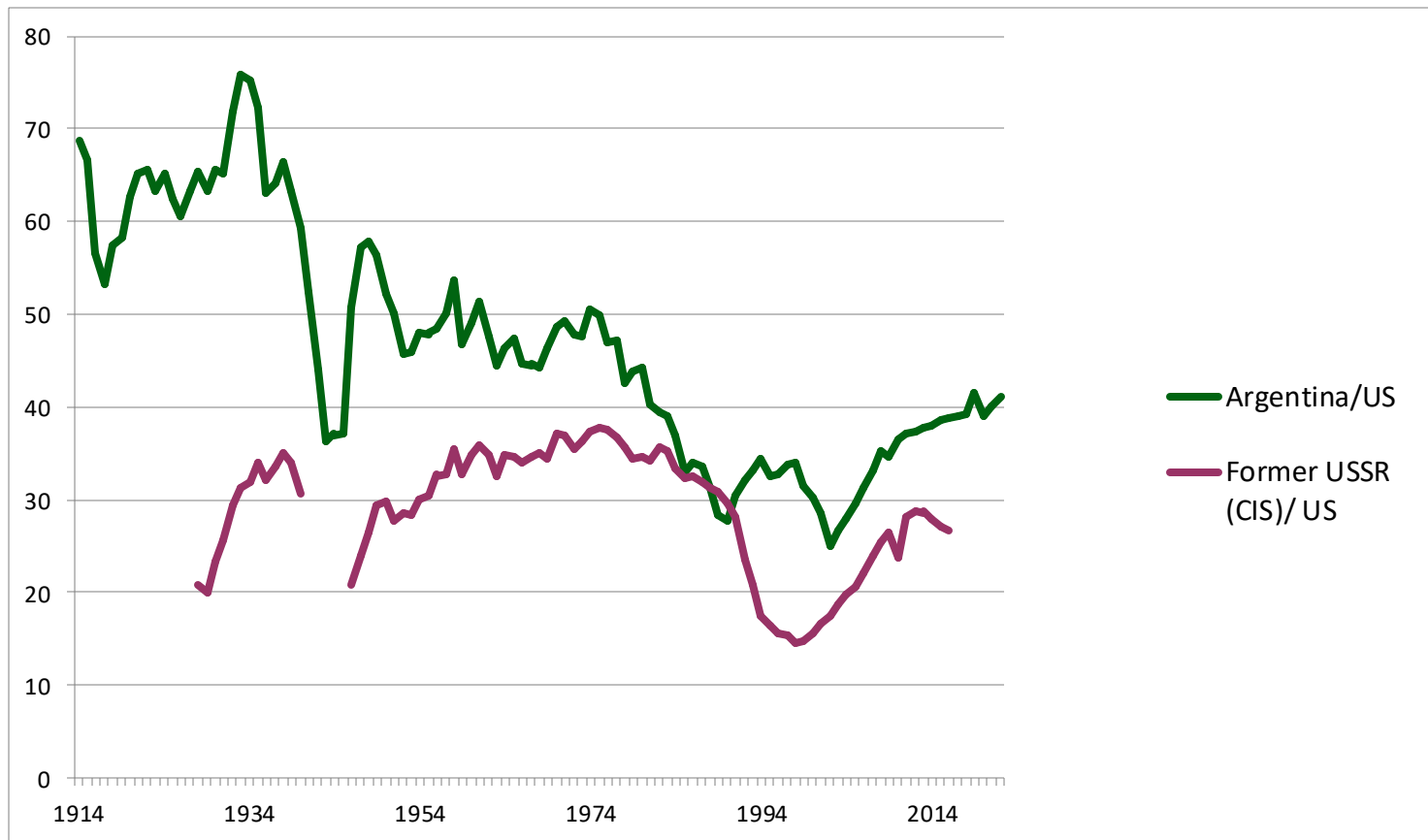
Compare the two Chinese economies (vs. the US)



But convergence can be disappointing, ...



And there are also cases of (relative) divergence



2 – Beyond the stats, and back to history: Why Europe and not 'the Rest' ? England rather than China ?

- Bin Wong (1997) classic thesis : China (in practice its economic core, the Yangze Basin) presented in 1800 economic structures and performances quite similar to those of England and North-West Europe:
 - Volume of **capital and technological levels** were equivalent in agriculture; productivity levels were more or less on par.
 - **Demographics** were comparable: population levels were controlled voluntarily rather than via famines and plagues.
 - **Market relations** were also well developed in both regions: product markets were well integrated, forced labour was in rapid decline, rural industry was growing rapidly (mostly textile and metalware).
-

-
- Both regions were also confronted to the same key problems: slow technical progress, low productivity growth, hence stagnant living standards. In other words, both regions had a **malthusian economy**
 - Without technological progress and an increasing capacity to invest, economic and demographic expansion was bounded: either the population self-regulated, or plagues and famine did the job.
 - From this derives the **classical Malthusian cycle**: when population grows, production extends to marginal lands (up in the hills) or more people are put at work (eg more kids and old people in the fields); perhaps natural resources are also depleted.
 - More people may thus be fed, at least in the short run, but **marginal productivity falls**. Hence a model of **involutive growth**. ... and sooner or later, you hit the natural constraints.
 - The Malthusian model has had substantial influence on the literature on Development, together with its close acquaintance, the **poverty trap**.
-

-
- How did Europe (England to start with) broke out of the Malthusian regime, sometimes between 1770 and 1820 ?
 - The standard account is that an **agricultural revolution** allowed indeed for an increase in the size of farms, better techniques and seeds, adoption of new produces, economies of scale, etc.
 - Better productivity in the agriculture thus made possible mass migrations to the cities and the Industrial revolution.
 - As a rule: *the growth of cities is a strong signal of economic dynamism*, whether in medieval Italy or Flanders or today in Em. Countries. Vice-versa: the decline of cities, as in Eastern Europe from the 16th c. onwards, is not a good signal. We'll back on this issue later.
 - But why did 18c-19c China remain stuck in the Malthusian model of involutive growth?
 - That is: without a capacity to increase the agricultural surplus to be invested in urban/ non-agricultural activities, while feeding workers, merchants, engineers (and even hungry students) ?
-

-
- Bin Wong comes at this point with a striking proposition:
 - 1/ Europe had more coal resources, that were easy to exploit (England, Belgium, Northern France, the Ruhr Valley).
 - 2/ Europe was able to import massively natural resources from the peripheries, esp. from the mid-19th c. onwards: cotton, grains, rubber, etc.. In turn, it exported manufactured goods, like textile. Europe thus organised an international division of labour adverse to the interest of the peripheries.

 - Bin Wong then adds an institutional dimension:
 - Rural society in China was more egalitarian, especially with regard to land ownership, hence concentration of land and economies of scale were more difficult to obtain. The growth dynamics observed in Europe between agricultural and industrial growth did not set in.
 - By the way: What about France vs. England in this regard?
 - The Chinese state was unified very early on, and aimed primarily at preserving social order and the status quo. In Europe, national States competed hard one against the other (Tilly, 1990), militarily, fiscally, technologically. Europeans, in other words, had a comparative advantage in killing in each others.
-

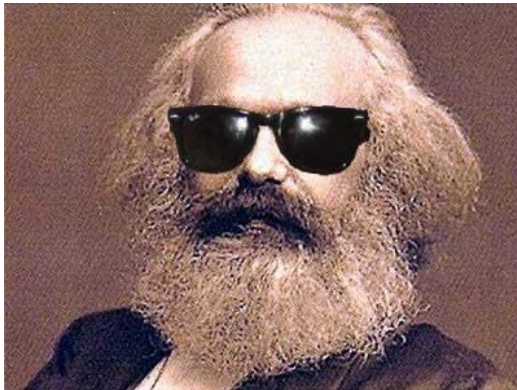
-
- Hence, for Bin Wong there is no «European miracle», or «English miracle»; nothing unique or exceptional happened in the West, contrary to what all the Classics have said (Marx, Weber, etc). The Great Divergence after 1800 resulted primarily from luck (coal) and the capacity to impose highly asymmetric relations.
 - Examples abound of thorough exploitation: sugar exports from Haïti (then called Saint-Domingue) under the French Ancien Régime was an enormous pot of rent for slave-owning planters, shipowners, merchants and financiers. But look also of course at Spanish colonization of Latin America, South Africa from the 1860s, Congo under the Belgian rule, or *Indochine Française* (hevea plantations). > Resource extraction (gold, ores, slaves, oil, cotton, etc) has been for centuries the basis of the most horrendous forms of subjection.
 - Yet, all colonies were not identical. The 1880's rush to colonize Africa responded primarily to geopolitical competition between European powers. Over the whole 19c, private British capital flows towards the Americas (North and South) were much bigger than towards India.
-

3- And, wait a moment ... What about Lenin v Bin Wong ?



- Analytically, Bin Wong is anchored into classic growth theory: he does not want to be seen as a 'radical'. Still, he argues that at a critical juncture, the 'Under-development' of the Periphery *conditioned* the 'Development' of the Centre. In a very sophisticated manner, this takes us back to a long tradition of anti-imperialist writings which goes back to *Lenin's Imperialism, the Highest Stage of Capitalism* (1917):
 - Capitalist expansion at the core is constrained by a long-term law of declining profitability and growth: ever growing production can't find a matching demand, as long as workers are thoroughly exploited.
 - Imperialism is the last-resort strategy to bring down production costs (by importing primary goods) and to find to new outlets (for manufacturing goods). But this strategy is doomed, argued Lenin: collapse is imminent !!!
 - Today, few authors are as schematic as Lenin, though the tension remains: *is the fate of developing countries entirely defined from the outside ? By 'capitalism', 'Wall Street', 'the West' or the IMF ? Or do countries (or their governments) have agency, hence responsibility ?*
-

-
- The underlying debate (deterministic economic 'laws' vs agency, local conditions) is a perennial one in the social sciences. **Karl Marx (1818-1883)** was already a blue-blood 'materialist' with a core focus on modes of production, capital accumulation, class relations, technological change, etc.
 - **Antonio Gramsci (1891-1937)**, a Marxist brought back into the discussion political institutions, local strategies and the fight for 'hegemony' over cultural ideas. His essay on '**La Questione Meridionale**' is an important early, non-Leninist discussion of 'under-development' based on the experience of the dual structure in Italy.



Karl Marx



Antonio Gramsci

More answers to Lenin ...

- A further response to the 'Leninist challenge' came in the 1960s and 1970s from left-wing economists who questioned the emergence of relatively broad-based industrial sectors in Latam, later in East Asia, – the so-called 'Newly Industrialised Countries'.
 - Some countries could thus escape from primary good exports and see the emergence of an urban middle-class, increasing levels of education and substantial progress in public health?
 - **La Teoria de la Dependencia** (1960s—1970s) explored how Latam societies were variously shaped by their dependent position and how different political and social alliances, locally, could make a difference and orient the country's economic and social models.
 - Ultimately, the '*Dependentistas*' were militant reformists, while the '*Leninists*' were revolutionary.
 - **Yet the question of 'agency'**, if you take a policy/political approach is everywhere to be found. How do countries 'acquire' and build it? Can they be entirely devoid of agency, etc?
-



C. Furtado
(1920-2004)



F. H. Cardoso
(1931)

4 - Timur Kuran (2004). Why is the Middle-East Economically Underdeveloped?

- TK thesis is more limited in scope than Bin Wong's, both spatially (he only looks at the Middle-East) and analytically: he focuses on institutions (public & private) and relates them to the political regimes. That being said:
 - He leaves aside any culturalist or religious explanation: he insists Islam is not responsible for the under-development of the ME region.
 - He also gives little weight to external pressures: imperialism is more a consequences of weak economies and polities, than a cause.
 - Beyond is a **mainstream neo-institutionalist perspective**: institutions depend very much on the political regime; and in turn they shape the incentives and constraints on the basis of which economic agents make decisions :
 - How easy it is for merchants to **raise capital** and expand their business?
 - How protected are they from **fiscal extortion**, or from incumbent merchants if they want to **enter a new market** or adopt a new technique?
 - What happens **if they fail**: will they (and their kids) spend years in the debtors' prison, or is there a possibility of a 'fresh start' ?
 - Can they **insure against some trading risks**, like accident at sea ?
-

-
- In the years 1000, the Middle-East had rather better institutions than Europe:
 - Long distance trade was more developed (see next week' course)
 - Merchants could create partnerships; contract law was 'essentially identical' in both regions (a legacy of Roman law)
 - **Letters of Credit**, which would become the core contract on which modern European finance and banking would later develop, was actually imported from the ME.
 - As in Europe, **usury laws** (with a mostly religious dimension) was a problem, though there were ways to move around these laws. Hence there was a (small) credit market, though without banks.
 - **Scientific, technological and intellectual development** was superior to what you could see in Europe. In many ways, the legacy of Greece and Rome reached Europe through Arab and Jewish mediation.
 - Yet: something wrong happened afterwards ...
-



Where did the obstacles to economic growth come from ?

- 1. **Private law institutions** did not develop as in medieval Italy. Merchants were thus confronted to difficulties when :
 - Trying to raise more capital and grow their firm; banking did not develop as in Italy, Flanders etc; pooling investors' capital was difficult.
 - Insurance against risks of trade was also difficult;
 - There was no equivalent to the (long, protracted, contested) process that led in Europe to the invention of corporations as **moral, abstract persons**, ie as **perpetual institutions** that survive individual stakeholders/ investors.
 - Critically: this constraint also applies to **civil societies institutions**, like guilds, municipalities, universities, associations, etc.
 - For Kuran the key problem is not indeed religion, but the relationship between rulers and society, hence independent markets and civil society; or between the public and the private. In this sense, he is very much in the classic liberal tradition.
-

□ 2. Limited production of public goods.

In practice, public goods were (and are still often) supplied in the ME by *Waqfs*, which are religious foundations, that (says TK) were the main (safest) way to protect private wealth from extortion by the Sultan, or his local men.

> See public baths, caravanserail, aid to the poors, water infrastructure, etc.

Yet, these institutions are rigid, they are often badly managed, and they do not present strong incentives to maximize the return on investment (social or individual). Hence, they tend to sterilize savings, rather than making them productive.

> **By the way**: remember how the landed properties of the Catholic Church were expropriated during the Protestant Reformation in Northern Europe (16th), then in France during the Revolution.

-
- 3. Religious minorities (Jews, Christians) could traditionally organize their social and religious life on their own, provided they paid a specific tax (*jizya*). For centuries, the fate of Jews was substantially better in the Muslim than in the Christian world.
 - Critically, in commercial matter, minorities could choose between their own laws and jurisdictions, and Muslim ones.
 - For centuries, they opted for Muslim institutions, which thus presented a quasi-universal character;
 - From the 18th-19th c., minorities started to opt for European, consular jurisdictions, which were established, by privilege, in the main trading ports (like Istanbul, Smyrn, Jaffa, etc). They could thus benefit from more supportive commercial laws and institutions than the rest of the local population, and their relative economic position improved.
 - T Kuran suggests that this was a key factor in the prevalence of rather rigid, state-led model of development during the 20th c.: within the dominant Muslim population there was no strong constituency supporting market-oriented reforms.
-

-
- Kuran's is indeed a rather mainstream, neo-institutionalist (liberal) reading of economic (non-)development: of course growth is about production factors, technology, trade, etc. But it is also about:
 - **Private property rights**, how they are protected (incl against over-taxation) and transferred (incl by way of inheritance); but think also to the protection of intellectual property, with patents.
 - The protection and **enforcement of private contracts**, hence their regulation (think to usury laws or the legalization of insurance contracts).
 - The **organization of markets**: they depend on adequate public institutions, like a working legal and judicial order; but if the government intervenes heavily and, worst, erratically, there will be consequences.
 - The **provision of public goods** : like the judicial system, a monetary order, a metric system, but also transport infrastructure, public health, education, ...
 - Hence, the key question in this research vein of **how the Sovereign can offer the powerful guarantees that an open economy needs, while also tying its hands and not raiding private wealth. Think for instance to Trump raiding American law firms and universities**
-

Early conclusions ...

- This contrasts sharply with B Wong's approach, where institutions have a specific, yet secondary impact on economic development. This marks **another seminal opposition** within the discipline:
 - Pure "materialist" or "raw economics" economists (whether 'Leninists' or mainstream neo-classics) posit that what matters ultimately for growth are capital, labour, technology, open trade, etc.
 - 'Materialists' thus agree that Sweden has better institutions than Nigeria and that it draws benefits from them. But ultimately, institutions would be endogenous to basic growth factors, like capital and labour: they are not primary, autonomous or 'exogenous' determinants of growth.
 - 'Institutionalists', argue that institutions have an independent, tangible impact on local development. This may suggest that local institutional builders, hence local élites, also have agency, hence responsibility. But institutionalist can also end up very deterministic, or fatalist: how can one ever change these old beliefs? These entrenched social rules ?
 - Both the conflict between 'materialists' and 'institutionalists', and between determinist approaches and agency-driven ones are serious, **they call** calls for intellectual engagement, serious studies.
-

Stone Age, the day before yesterday: Inuits

